Quillwood Credit Partners

Origination and credit | Internal working paper

Elan West BTR Investment Facility

Investment Committee paper: A$74.0M senior secured stabilised investment facility

Prepared for the Quillwood Credit Partners Investment Committee

Prepared by the Real Estate Credit deal team

Version 1.0 for Committee, 10 September 2025

Confidential

Reference: QCP-IC-2025-0917

Date: 10 September 2025

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Elan West BTR Pty Ltd
ABN	46 975 038 650
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Registered address	Level 9, 33 Marsden Street, Parramatta NSW 2150
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Facility	A$74.0M senior secured stabilised investment (term) facility, interest only, 36 months
Date of paper	10 September 2025
Version	1.0 (for decision)
Prepared by	Quillwood Credit Partners, Real Estate Credit
Prepared for	Investment Committee

Transaction details

1. Executive summary

Quillwood Credit Partners has been invited by Elan Living to provide a A$74.0M senior secured stabilised investment facility to Elan West BTR Pty Ltd (the Borrower). The Borrower is a single-purpose vehicle that owns and operates Elan West, a completed 188 apartment build-to-rent (BTR) building at 41 Darcy Road, Westmead NSW 2145, in the Parramatta local government area. The facility will refinance the existing bank construction-to-term facility of A$72.4M and fund A$1.6M of establishment fees, transaction costs and hedging set-up.

The asset reached practical completion on 21 August 2023, completed lease-up on 28 June 2024 and has traded above 95% occupancy since the September 2024 quarter. Current occupancy is 95.3% at an average rent of A$887 per week. Revenue is A$8.7M, operating expenses are A$2.35M and EBITDA is A$6.35M. The independent valuation of Halvorsen Pryce Valuers Pty Ltd dated 22 August 2025 adopts an as-stabilised value of A$117.5M on a capitalisation rate of 5.40%, which gives a loan to value ratio (LVR) of 63.0% on the facility limit.

This is a refinance of a performing, income-producing asset with a first registered mortgage, a general security agreement (GSA) over the Borrower and a sponsor completion and income support deed. The credit is not a conventional low-leverage stabilised loan. Net debt of A$71.9M is 11.3x EBITDA, the interest cover ratio (ICR) is 1.33x at an indicative all-in rate of 6.45% per annum, and the debt yield is 8.6%. The security is strong relative to the facility, but cash flow headroom to rising base rates and to income softness is thin. Our recommendation relies on a hedging requirement, a distribution lock-up, an interest reserve and tight financial covenants to manage that.

Key credit metrics

Metric	Value	Comment
Facility limit	A$74.0M	36 months, interest only
As-stabilised value	A$117.5M	Halvorsen Pryce, 22 August 2025
LVR	63.0%	On facility limit
Total development cost	A$101.5M	Land A$38.5M
Debt to total development cost	72.9%	A$74.0M over A$101.5M
EBITDA	A$6.35M	Revenue A$8.7M less opex A$2.35M
Net debt to EBITDA	11.3x	Net debt A$71.9M
ICR	1.33x	At 6.45% all-in, A$74.0M drawn
Debt yield	8.6%	EBITDA over facility limit
Occupancy	95.3%	Average rent A$887 per week

Summary of credit metrics at the facility limit

Pricing and returns

Indicative pricing is 3 month BBSW plus 2.85% per annum, or about 6.45% per annum all-in assuming 3 month BBSW of 3.60%. An establishment fee of 1.00% (A$0.74M) applies, and a line fee of 0.85% per annum applies to undrawn amounts if the facility is staged. At full drawing the margin income is approximately A$2.11M per annum. At least 75% of drawn debt must be hedged for the term. Pricing is indicative only and subject to credit approval.

2. Recommendation

The deal team recommends that the Committee approve in principle a senior secured stabilised investment facility of up to A$74.0M to Elan West BTR Pty Ltd on the terms in this paper, subject to the conditions precedent in Section 11 and to the covenant package in Section 10. Approval is sought on the following basis.

- Limit and tenor: A$74.0M, 36 months, interest only, with a single drawing at financial close to refinance the existing bank facility.
- Hold: the full A$74.0M is to be held, with no sell-down assumed in this paper.
- Pricing: 3 month BBSW plus 2.85% per annum, 1.00% establishment fee, with the Committee delegating authority to the deal team to agree movements of up to 15 basis points on margin before the term sheet is issued.
- Security: first registered mortgage over 41 Darcy Road, Westmead, GSA over the Borrower, assignment of the management agreement and key contracts, and a sponsor completion and income support deed.
- Protections: minimum 75% hedging, an interest reserve of A$1.2M held in a blocked account, a distribution lock-up and financial covenants as set out in Section 10.
- Process: the term sheet is scheduled for issue on 17 October 2025, following satisfaction of the diligence items and the receipt of the financial statements and management accounts set out in Section 11.

The recommendation is conditional on the audited financial statements and September 2025 management accounts showing no material variance from the information memorandum, and on the valuation being addressed to Quillwood Credit Partners on a reliance basis. If either item fails, the transaction returns to the Committee.

3. The transaction

3.1 Facility terms

Borrower	Elan West BTR Pty Ltd
Facility type	Senior secured stabilised investment (term) facility, interest only
Limit	A$74.0M
Tenor	36 months from financial close
Purpose	Refinance the existing bank construction-to-term facility of A$72.4M and fund A$1.6M of establishment fees, transaction costs and hedging set-up
Margin	3 month BBSW plus 2.85% per annum
Indicative all-in rate	About 6.45% per annum at 3 month BBSW of 3.60%
Establishment fee	1.00% (A$0.74M)
Line fee	0.85% per annum on undrawn amounts if staged
Hedging	Minimum 75% of drawn debt for the term
Security	First registered mortgage, GSA, sponsor completion and income support deed

Indicative facility terms, subject to credit approval

3.2 Sources and uses

The facility is drawn in full at financial close. The establishment fee is A$0.74M, which leaves A$0.86M for legal costs, valuation, quantity surveyor and other diligence costs, and hedging set-up. The Borrower holds A$2.1M of cash, which is retained and is not applied to the refinance.

Item	A$M	% of total
Sources		
Quillwood Credit Partners facility	74.0	100.0%
Uses		
Repay existing bank facility	72.4	97.8%
Establishment fee (1.00%)	0.74	1.0%
Transaction costs and hedging set-up	0.86	1.2%
Total uses	**74.0**	**100.0%**

Sources and uses at financial close

The sponsor is not contributing new equity to the refinance. Equity in the asset is the difference between the as-stabilised value of A$117.5M and the facility limit of A$74.0M, or A$43.5M. This compares with total development cost of A$101.5M, so the stabilised value is about 15.8% above cost.

3.3 Hedging and interest rate position

A minimum of 75% of drawn debt (A$55.5M at full drawing) must be hedged for the term by interest rate swaps or equivalent instruments with an approved counterparty. The remaining A$18.5M floats with 3 month BBSW. The ICR analysis in Section 7 assumes the hedged portion is fixed at a rate equivalent to the base case and that only the unhedged portion is exposed to a rise in base rates. The Borrower's financial adviser, Lindqvist Capital Advisory Pty Ltd, is to confirm the proposed hedge strategy and counterparty before the term sheet is issued.

3.4 Rationale for the refinance

The existing bank construction-to-term facility was sized for the construction and lease-up period. The sponsor wishes to term out the debt into a three year stabilised investment facility that is matched to the income profile of the asset and gives a clear runway to a longer dated bank or institutional refinance. The deal team notes that the sponsor has chosen a non-bank lender because of speed of execution and the leverage on offer. We do not regard that as unusual for BTR, but it informs our view that the covenant package must be tighter than a bank would apply at the same leverage.

4. Borrower and sponsor

4.1 Structure

Elan West BTR Pty Ltd (ABN 46 975 038 650) is a special purpose vehicle whose sole business is the ownership and operation of Elan West. It is wholly controlled by Elan Living Group Pty Ltd, trading as Elan Living, a Parramatta based BTR developer and operator. The asset is managed by Elan Living Operations Pty Ltd under a management agreement with the sponsor. The registered address of the Borrower is Level 9, 33 Marsden Street, Parramatta NSW 2150.

The Borrower will give negative pledge, restricted payment and no further indebtedness undertakings. It will not conduct any business other than the ownership, leasing and operation of the property and will not hold any other assets.

4.2 Directors and management

Name	Role	Relevance
Priya Delacroix	Executive Director and CEO, Elan Living	Strategy, development and operator oversight
Thomas Gallagher	Executive Director and CFO, Elan Living	Treasury, reporting and lender relationship
Helen Kwong	Non-executive Director (independent)	Independent oversight of the Borrower

Directors of the Borrower and sponsor

The board has an independent non-executive director, which is a positive for an SPV of this size. We will require Ms Kwong to be a director of the Borrower for the life of the facility and to be named in the information undertakings. Reference checks and a search of the directors for insolvency and regulatory history are included in the conditions precedent.

4.3 Sponsor and operator

Elan Living has delivered Elan West from site acquisition through to stabilised operations. It also operates the building through Elan Living Operations Pty Ltd. This vertical integration is a strength for resident experience and leasing, but it also means that development, ownership and operating risk sit with one group. The management agreement must be subordinated to the facility and assigned as security, and the Lender must have the right to require a replacement manager on an operator event of default or a covenant breach.

The deal team has not yet received consolidated financial statements for Elan Living Group Pty Ltd. These are required to assess the sponsor's capacity to honour the completion and income support deed. Receipt and satisfactory review is a condition precedent.

4.4 Project history

Date	Milestone
15 November 2019	Settlement of the Darcy Road, Westmead site for A$38.5M
10 December 2020	Development consent granted for 188 apartments with ground floor retail by the Sydney Central City Planning Panel
6 April 2021	Construction commenced under a lump sum design and construct contract
21 August 2023	Practical completion and occupation certificate; first residents moved in September 2023
28 June 2024	Lease-up completed with occupancy above 90%; sustained above 95% from the September 2024 quarter

Development and operating timeline

The project took about 21 months from consent to the start of construction and just over 28 months to build. Lease-up from first occupation in September 2023 to completion in June 2024 took about nine months for 188 apartments, which is a sound result. It supports the view that demand at this location is deep, although the lease-up was achieved before the new supply expected over 2025 to 2027.

5. The asset and its market

5.1 Property description

Elan West is a completed 188 apartment BTR building at 41 Darcy Road, Westmead, with approximately 15,400 sqm of gross floor area and 11,812 sqm of net lettable residential area. It includes resident amenity space, ground floor retail and basement parking. The Borrower owns the land and building as a single title and no part of the building is strata subdivided or sold.

Apartment type	Number	Share of units
Studio	24	12.8%
One bedroom	78	41.5%
Two bedroom	72	38.3%
Three bedroom	14	7.4%
Total	**188**	**100.0%**

Apartment mix

The mix is weighted to one and two bedroom apartments, which together make up about 80% of units and suit the single professional and couple demand typical of a health and education precinct. The 14 three bedroom apartments provide for families and shared households. On a per unit basis, the facility equates to approximately A$394,000 per apartment against an as-stabilised value of approximately A$625,000 per apartment. On net lettable area the facility is approximately A$6,265 per sqm against a value of approximately A$9,948 per sqm.

5.2 Location and demand drivers

The property is in the Westmead health and education precinct, close to Westmead Hospital, the University of Sydney Westmead campus and the Parramatta Light Rail. Westmead is one of the largest concentrations of health employment in Greater Sydney, and the precinct draws on hospital staff, medical researchers, students and visiting clinicians. These groups value proximity, a furnished or amenity rich product and flexible lease terms, which BTR provides.

The same factors create a concentration. Income depends on demand from healthcare and university employees in one precinct. A funding or workforce shock in either sector would affect occupancy and rents more than it would a diversified portfolio.

5.3 Supply and rent

New BTR supply is expected in Parramatta and Westmead over 2025 to 2027. The average rent of A$887 per week at 95.3% occupancy implies annual residential rent of approximately A$8.26M. The balance of revenue, approximately A$0.44M, is retail rent and ancillary income such as parking and amenity charges. The rent level was achieved before the new supply arrives, so the deal team has run the sensitivities in Section 7 for a fall in income. We have not relied on rental growth in any of the credit metrics.

The deal team will commission a short supply pipeline note from Halvorsen Pryce before the term sheet is issued, covering competing BTR and build-to-sell stock within a 3 kilometre radius and the expected delivery dates. The result will inform the final covenant levels.

6. Security

6.1 Security package

- First registered mortgage over 41 Darcy Road, Westmead NSW 2145, including all fixtures and improvements.
- General security agreement over all present and after-acquired property of the Borrower, including rents, bank accounts, insurances and contract rights.
- Sponsor completion and income support deed from Elan Living Group Pty Ltd, covering rectification of outstanding defects and funding of interest shortfalls, with the cap to be agreed. The deal team will seek not less than A$2.4M, equal to six months of interest at the indicative rate.
- Assignment of the management agreement with Elan Living Operations Pty Ltd, with a subordination and step-in deed.
- Assignment of the hedging arrangements, the construction contract warranties and the consultant and builder warranties, to the extent assignable.
- Blocked account arrangements for rental receipts, the interest reserve and any cash sweep proceeds.

6.2 Valuation

Halvorsen Pryce Valuers Pty Ltd valued the property on 22 August 2025 at A$117.5M on an as-stabilised basis. The adopted capitalisation rate is 5.40%, which is consistent with the net operating income of A$6.35M (A$6.35M over A$117.5M is 5.40%). The valuation must be addressed to Quillwood Credit Partners, or a reliance letter must be provided, as a condition precedent. The deal team will review the valuer's rental evidence, the treatment of retail and ancillary income, and will seek a second desktop opinion if the analysis shows any outlier.

As a cross-check, the 5.40% capitalisation rate is a net operating yield on a stabilised asset with a land component of A$38.5M. Land represents about 33% of the as-stabilised value. Land value provides a floor to the security under a stress case, although the value of the land in a distressed sale of an operating BTR building depends on the planning outcome and cannot be taken as a standalone recovery.

6.3 Quantity surveyor and building compliance

Brannigan Tait Quantity Surveyors Pty Ltd reported on 15 August 2025 on the total development cost of A$101.5M, the status of completion and the register of outstanding defects. Practical completion was achieved on 21 August 2023. The deal team notes that statutory warranty obligations under NSW legislation can run for up to six years for major defects, which would extend to about August 2029 and beyond the 36 month tenor. Marlow & Finch Lawyers, as counsel to the Borrower, are to confirm the warranty periods and any open building compliance notices. We will also instruct our own counsel to review the same matters.

6.4 Insurance

The Borrower is to maintain full replacement cost insurance, loss of rent insurance of at least 18 months, public liability and, where applicable, general property cover, each noting the Lender's interest. An insurance review by an independent broker is a condition precedent.

7. Financial analysis

7.1 Operating performance

Figures are on a run-rate basis from the information memorandum dated 4 August 2025 for the year to 30 June 2025. The audited financial statements, prepared with Corwen Ashby Assurance as auditor, are scheduled for delivery on 12 September 2025, and the management accounts to 30 September 2025 are to follow. We will not issue a term sheet until both have been reviewed.

Item	A$M	% of revenue
Revenue	8.70	100.0%
Operating expenses	(2.35)	27.0%
EBITDA	6.35	73.0%
Cash	2.10	
Net debt (A$74.0M less cash)	71.90	

Operating result and net debt at facility limit

The EBITDA margin of 73.0% is consistent with a well run BTR asset where the operator absorbs leasing and marketing costs. The deal team will test the operating expense line for management fees paid to Elan Living Operations Pty Ltd and for any capital expenditure that has been treated as operating expense, as well as the allowance for land tax, which depends on the eligibility of the building for the concessions available to BTR in NSW. We have asked Lindqvist Capital Advisory Pty Ltd to confirm the land tax position.

7.2 Debt service and leverage

Metric	Result	Basis
Interest cost	A$4.77M	A$74.0M at 6.45%
ICR	1.33x	EBITDA over interest
Net debt to EBITDA	11.3x	A$71.9M over A$6.35M
Debt yield	8.6%	EBITDA over A$74.0M
LVR	63.0%	A$74.0M over A$117.5M
Break-even EBITDA at ICR 1.00x	A$4.77M	25% below current

Debt service and leverage at the facility limit

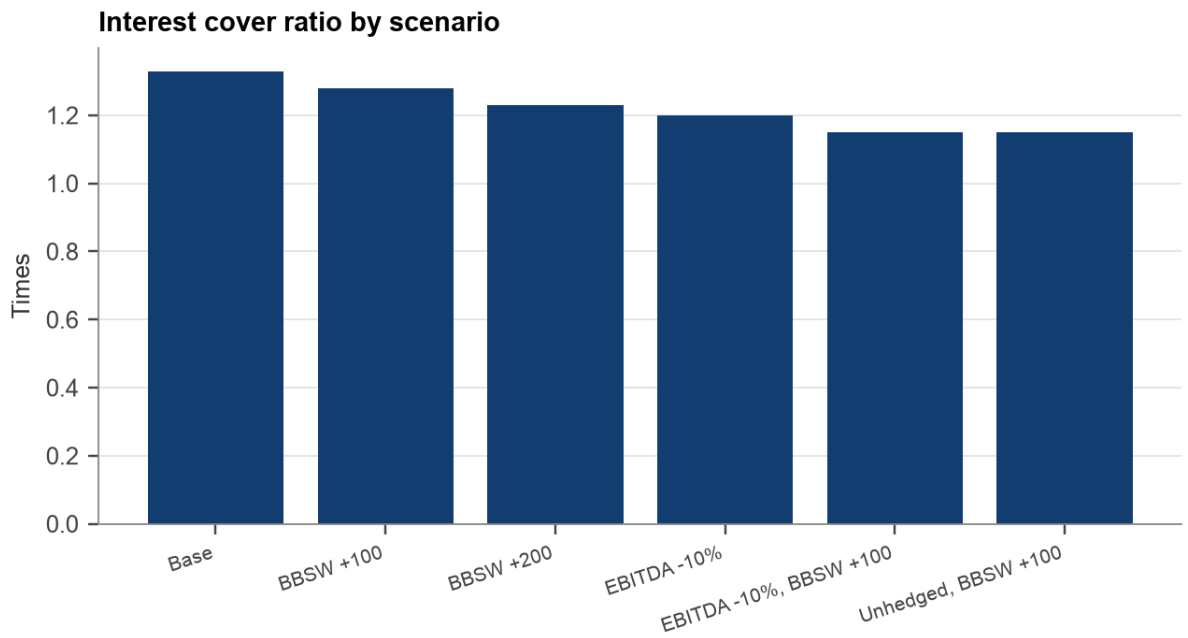
Leverage of 11.3x net debt to EBITDA is high in absolute terms, although it is not unusual for a stabilised BTR asset valued at a 5.40% yield. With the facility interest only, the ICR of 1.33x is the key measure of cash flow resilience. After interest, the Borrower generates approximately A$1.58M of annual cash flow before capital expenditure, tax and any distributions. This is the amount of cash available to absorb a fall in income or a rise in the cost of the unhedged debt.

7.3 Interest rate and income sensitivities

The table shows ICR under a rise in 3 month BBSW and a fall in EBITDA. In all cases other than the last row, the hedged portion is assumed to be 75% of drawn debt at the base case rate, so that only A$18.5M floats.

Scenario	Interest A$M	ICR
Base case	4.77	1.33x
BBSW +100 bps, 75% hedged	4.96	1.28x
BBSW +200 bps, 75% hedged	5.14	1.23x
EBITDA -10%	4.77	1.20x
EBITDA -10% and BBSW +100 bps	4.96	1.15x
BBSW +100 bps, fully unhedged	5.51	1.15x

ICR sensitivity at A$74.0M drawn (EBITDA A$6.35M in base case)



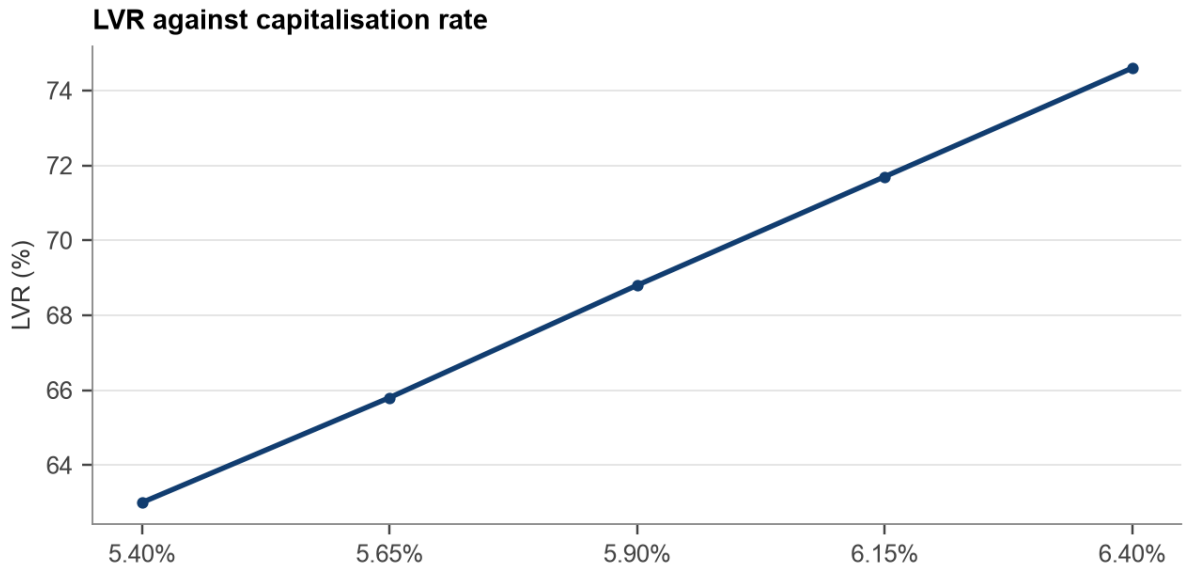
ICR remains above 1.15x in every scenario tested; the hedging requirement is the main protection against rate risk.

Hedging of 75% of drawn debt makes a material difference. A 100 basis point rise on the unhedged portion reduces ICR by 0.05x, whereas the same rise on a fully floating facility would reduce it by 0.18x. Even so, the combination of a 10% fall in EBITDA and a 100 basis point rise leaves ICR at 1.15x, which is the proposed default level. The deal team considers that the structure is adequate for this stress but does not have headroom for a larger one without sponsor support or a cash sweep.

7.4 Valuation sensitivity

Cap rate	Value A$M	LVR
5.40% (valuation)	117.5	63.0%
5.65%	112.4	65.8%
5.90% (+50 bps)	107.6	68.8%
6.15%	103.3	71.7%
6.40%	99.2	74.6%

LVR sensitivity to capitalisation rate at constant EBITDA of A$6.35M



A 50 basis point softening reduces value by about A$10M and lifts LVR to about 69%.

A 50 basis point softening in the capitalisation rate reduces value by approximately A$10M to A$107.6M and lifts LVR to about 69%. An LVR of 70% is reached at a value of about A$105.7M, which is a capitalisation rate of 6.00%, or about 60 basis points of softening. This level is the proposed LVR default covenant.

7.5 Exit and refinance at maturity

The facility is interest only, so the full A$74.0M is due at maturity in 36 months. The repayment source is a refinance with a bank or institutional lender. At a 60% LVR on an unchanged value of A$117.5M, a refinance would provide approximately A$70.5M, which is A$3.5M short of the facility. A bank sizing on a debt yield or ICR test may produce a lower figure. The sponsor would need to fund the difference from cash, equity or a sale of the asset. We therefore propose a cash sweep when the LVR exceeds 65% or the debt yield falls below 8.0%, so that the debt is reduced during the term if performance weakens. The deal team has also asked the sponsor for a refinance plan, including bank appetite, before the term sheet is issued.

8. Pricing and return assessment

At an all-in rate of 6.45% the Borrower pays a margin of 2.85% over 3 month BBSW. Together with the establishment fee of 1.00%, which equates to about 0.33% per annum over the 36 month tenor, the total return to the Lender is approximately 3.18% per annum above BBSW before costs. The deal team considers this appropriate for senior secured exposure at 63.0% LVR against a stabilised BTR asset, with the tighter covenants and the lower than typical ICR taken into account. The line fee of 0.85% per annum applies only if the facility is staged, which is not currently expected.

9. Key risks and mitigants

Risk	Rating	Primary mitigant
Refinance and interest rate	High	75% hedging, cash sweep, interest reserve
Rental and occupancy	Medium	Covenants, operator step-in, reserve
Valuation and exit	Medium to high	LVR lock-up at 65%, default at 70%
Single asset and tenant concentration	Medium	Income support deed, diverse resident base
Operator and sponsor	Medium	Management agreement assignment, step-in
Defects and compliance	Low to medium	Warranty review, sponsor rectification covenant

Risk summary

9.1 Refinance and interest rate risk

Net debt of A$71.9M is about 11.3x EBITDA and ICR of 1.33x leaves limited headroom to a rise in base rates beyond the hedged portion. The mitigants are the 75% minimum hedging requirement for the full term, which fixes A$55.5M of the exposure, an interest reserve of A$1.2M in a blocked account (approximately three months of interest), a distribution lock-up if ICR falls below 1.30x, and a cash sweep if ICR or LVR triggers are breached. The exit risk described in Section 7.5 is addressed by the sweep and by the sponsor's refinance plan. This remains the principal risk in the credit.

9.2 Rental and occupancy risk

Income depends on achieving average rents of about A$887 per week in a market where new BTR supply is expected in Parramatta and Westmead over 2025 to 2027. Occupancy has held above 95% for several quarters, but the competitive landscape will change. The mitigants are quarterly reporting of occupancy, rent roll and leasing velocity, the ICR covenant, and the right to require a leasing strategy review on a lock-up event. The sensitivity in Section 7.3 shows that EBITDA can fall by about 13.6% before ICR reaches the proposed default level of 1.15x at the base interest cost.

9.3 Valuation and exit risk

The as-stabilised value of A$117.5M reflects a 5.40% capitalisation rate. A 50 basis point softening would reduce value by roughly A$10M and lift LVR to about 69%. The mitigants are the 63.0% opening LVR, the LVR lock-up at 65% and default at 70%, the independent valuation on a reliance basis, and annual valuations by a panel valuer, with the right to require a further valuation on any trigger event. The deal team also notes that an increase in capitalisation rates would most likely coincide with higher base rates, which would compound the ICR pressure.

9.4 Single asset and tenant concentration risk

Income is exposed to demand from healthcare and university employees in the Westmead precinct. The Borrower has 188 residents across different apartment types, so there is no single tenant concentration at the lease level, but there is an economic concentration to one precinct and two sectors. This is mitigated by the strength of the precinct as a long term employment node, the transport links including the Parramatta Light Rail, and the income support deed. We have not assumed any diversification benefit.

9.5 Operator and sponsor risk

The facility relies on Elan Living Operations Pty Ltd for leasing, operating cost control and resident retention. A failure of the operator, or of the sponsor group, would affect the asset directly. Mitigants include the assignment and subordination of the management agreement, a step-in right and a right to appoint a replacement operator on an operator event of default, a cap on management fees, and the independent director. The sponsor's financial statements are a condition precedent, and we will obtain a view of the sponsor's liquidity and its other BTR commitments.

9.6 Defects and building compliance risk

Residual defects liability and statutory warranty matters remain under the NSW building reforms until the end of the defects period. The Brannigan Tait report of 15 August 2025 and legal advice from our counsel will confirm outstanding items. The sponsor completion and income support deed requires the sponsor to rectify defects at its cost, and a retention or reserve will be considered if the QS identifies material open items. The risk is regarded as low to medium given that the building has been occupied for two years.

10. Proposed covenants and undertakings

Covenant	Lock-up / sweep	Default
ICR (12 months, tested quarterly)	Below 1.30x	Below 1.15x
LVR (on latest valuation)	Above 65.0%	Above 70.0%
Debt yield (12 months)	Below 8.0%	Not applicable
Occupancy (quarterly average)	Below 92.0%	Below 88.0%
Hedging (drawn debt)	Not applicable	Below 75.0%

Financial covenants, indicative

Headroom at opening is as follows. ICR of 1.33x is 0.03x above the lock-up trigger, so a small rise in costs or fall in income would cause a lock-up. We regard this as intentional. The lock-up diverts surplus cash to the Lender rather than to the sponsor, and it should be seen as an early warning measure rather than a default. The LVR lock-up at 65% is 2.0 percentage points above the opening level, equal to a softening of about 25 basis points in the capitalisation rate. Debt yield of 8.6% is 0.6 percentage points above the sweep trigger.

Other key undertakings

- Distributions to the sponsor are permitted only if no default or lock-up event exists, ICR is at least 1.30x and LVR is no more than 65.0%.
- Interest reserve of A$1.2M, held in a blocked account and replenished within 30 days of any drawing.
- Management fees capped at the level in the information memorandum and subordinated to the facility on an event of default.
- Annual budget approved by the Lender, with capital expenditure above an agreed threshold subject to consent.
- Valuations at financial close and annually by a panel valuer, and at the Lender's request following a trigger event at the Borrower's cost.
- Quarterly reporting within 30 days, including rent roll, occupancy, arrears, leasing velocity, operating expenses and a compliance certificate; audited annual accounts within 120 days of year end.
- No further financial indebtedness, no change of control of the Borrower or the operator, and no amendment of the management agreement without the Lender's consent.
- Mandatory prepayment from sale proceeds, insurance proceeds and compensation, and a cash sweep of excess cash while any sweep event continues.
- Independent non-executive director to remain on the Borrower's board.

11. Conditions precedent and subsequent

11.1 Conditions precedent to term sheet and financial close

- Receipt and satisfactory review of the audited financial statements of the Borrower, due 12 September 2025, and of the management accounts to 30 September 2025, with no material adverse variance from the information memorandum of 4 August 2025.
- Valuation report of Halvorsen Pryce Valuers Pty Ltd dated 22 August 2025 addressed to Quillwood Credit Partners or supported by a reliance letter, and the supply pipeline note.

- Quantity surveyor report of Brannigan Tait Quantity Surveyors Pty Ltd dated 15 August 2025 addressed to Quillwood Credit Partners, with a register of outstanding defects and cost to rectify.
- Consolidated financial statements for Elan Living Group Pty Ltd and evidence of liquidity sufficient to support the income support deed.
- Legal due diligence by Quillwood Credit Partners' counsel, including title, planning and the occupation certificate, building compliance and warranty position, with review of the report of Marlow & Finch Lawyers for the Borrower.
- Financial model and hedging proposal from Lindqvist Capital Advisory Pty Ltd, with the model reconciled to the audited accounts.
- Independent insurance review, including loss of rent cover.
- Review of the management agreement, resident lease form and key contracts, including the land tax position.
- Know your customer and sanctions checks on the Borrower, the sponsor and the directors, and searches for insolvency and litigation.
- Executed security documents, sponsor completion and income support deed, subordination and step-in deed, and a payout letter and discharge of the existing bank security.
- Hedging documentation executed on or before financial close for at least 75% of drawn debt.

11.2 Conditions subsequent

- Registration of the first mortgage and registration of the GSA on the Personal Property Securities Register within five business days of financial close.
- Delivery of the interest reserve funding and the blocked account arrangements within 10 business days of financial close.
- Delivery of any outstanding third party reliance letters for the consultant and builder warranties within 60 days of financial close.
- Delivery of a refinance plan and bank engagement update no later than 12 months before maturity.

12. Advisers and diligence status

Role	Party	Status
Valuer	Halvorsen Pryce Valuers Pty Ltd	Report 22 Aug 2025
Quantity surveyor	Brannigan Tait Quantity Surveyors Pty Ltd	Report 15 Aug 2025
Auditor	Corwen Ashby Assurance	Accounts due 12 Sep 2025
Financial adviser	Lindqvist Capital Advisory Pty Ltd	Model and hedging pending
Borrower's counsel	Marlow & Finch Lawyers	Engaged
Property manager	Elan Living Operations Pty Ltd	Agreement under review

Advisers and diligence status at the date of this paper

The key dates are as follows: information memorandum on 4 August 2025, QS report on 15 August 2025, valuation on 22 August 2025, audited financial statements due on 12 September 2025, management accounts to 30 September 2025, and a term sheet scheduled for 17 October 2025. The deal team is relying on information supplied by the sponsor and its advisers, which has not all been verified independently at the date of this paper.

13. Matters for the Committee

The Committee is asked to consider three points in particular. First, whether the leverage of 11.3x and ICR of 1.33x are acceptable for a stabilised asset on the proposed covenant package, given the high LVR headroom but low cash flow headroom. Second, whether the lack of a corporate or personal guarantee from the sponsor is acceptable, given the income support deed and the assignment of the management agreement. Third, whether the exit plan is sufficient given the A$3.5M gap at a 60% refinance LVR on unchanged value. The deal team's view is that each point is manageable with the proposed protections, and recommends approval on that basis.

14. Sign-off

The analyst confirms that the figures in this paper have been prepared from the information memorandum, the valuation and the QS report and agree with the facility terms as presented. The approvers record the Committee's decision below.

Role	Decision	Date
Credit analyst, Real Estate Credit	Prepared and recommended	10 September 2025
Head of Real Estate Credit	Recommended	10 September 2025
Chief Risk Officer	To be completed at Committee	
Investment Committee Chair	To be completed at Committee	
Investment Committee member	To be completed at Committee	

Analyst and approver sign-off

Decision options: approved as recommended; approved with amendments; deferred for further information; declined. Any amendment to the limit, tenor, margin outside the delegated range, or the covenant levels requires the paper to be reissued.